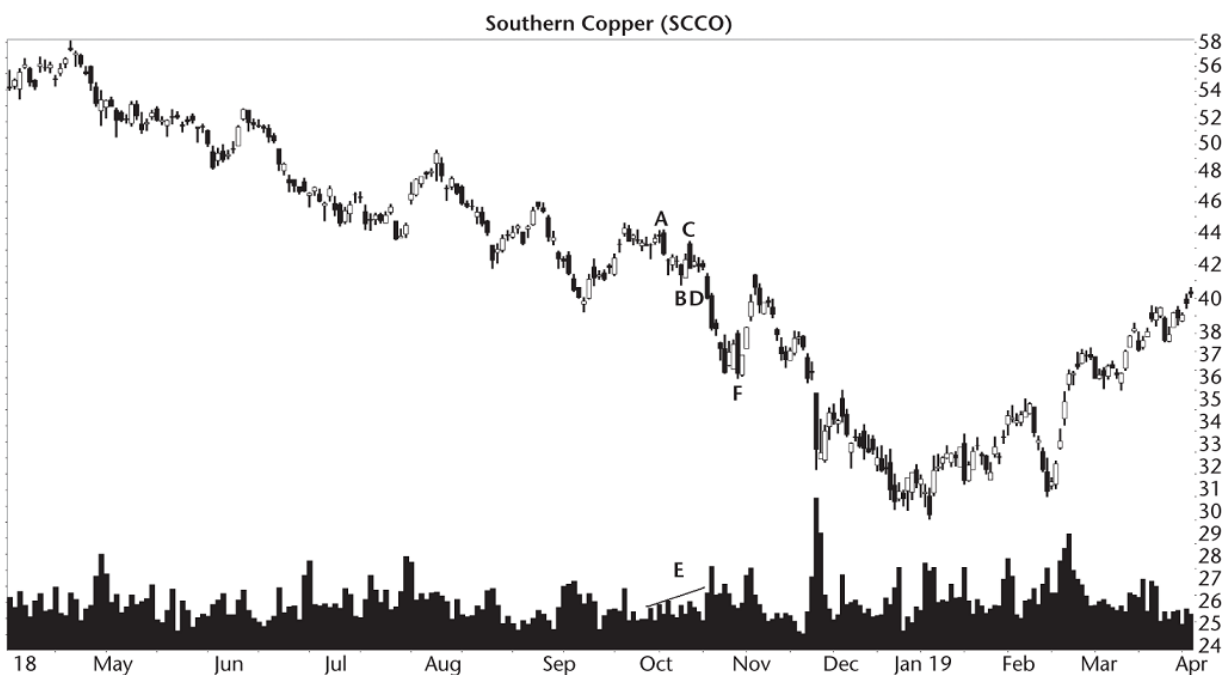


Volume. Volume trends upward from points A to D most often, but the trend is almost random.

Duration. I limited patterns to 6 months duration or less. This is an arbitrary limit.

Focus on Failures

[Figure 3.3](#) shows one example of how this pattern fails. The four points in the pattern are labeled as ABCD, and they comprise the bullish $AB=CD$ pattern. Volume slopes upward in this example, shown by the diagonal line at E.



[Figure 3.3](#) This bullish $AB=CD$ has price falling through the predicted turning at D.

Point D is where the stock is supposed to bottom and turn upward, but it doesn't. It's obvious that the height of CF is much taller than AB, but the height can vary depending on the Fibonacci numbers used in construction of the pattern. The turn at D should be at 40.05, and yet the stock continues lower.

This type of failure happens often, 62% of the time in bull markets and 67% of the time in bear markets. Let me also say that this high failure rate may